# EXECUTIVE SUMMARY

## A. Introduction

### Agency Profile

The Municipality of Claveria, Cagayan was created by virtue of a Royal Decree of Spain on June 5, 1865. It is a third-class municipality situated on the northwestern coast of the Province of Cagayan. Claveria is politically subdivided into 41 Barangays and part of the 2nd District of the Province of Cagayan. Upon the effectivity of Republic Act(RA) No. 11964, signed in October 2023, modernized the income classification of municipalities in the Philippines. The Municipality of Claveria was reclassified as second-class Municipality as to Income Classification.

## B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Claveria for CY 2025 and was aimed at determining whether management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

## C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Claveria, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

| Particulars | 2025 | 2024 | Increase/ (Decrease) |
|---|---|---|---|
| **Financial Position** | | | |
| Assets | 517,376,500.72 | 471,286,465.31 | 46,090,035.41 |
| Liabilities | 153,131,048.98 | 141,654,883.40 | 11,476,165.58 |
| Government Equity | 364,245,451.74 | 329,631,581.91 | 34,613,869.83 |
| **Financial Performance** | | | |
| Income | 230,137,431.32 | 201,120,864.71 | 29,016,566.61 |
| Expense | 201,769,845.71 | 202,991,876.59 | (1,222,030.88) |
| Net Income | 28,367,585.61 | (1,871,011.88) | 30,238,597.49 |

## D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

| Name of Program/ Project/ Activity | Amount |
|---|---|
| Improvement/ Rehabilitation of Municipal Slaughter House | 621,559.00 |
| Purchase of Fishing Gears and Paraphernalia | 2,723,160.00 |
| Installation of Solar Powered Streetlights | 6,480,194.20 |
| Improvement of Evacuation Center/Barangay Hall/ Gymnasium | 8,540,658.83 |
| Concreting of Barangay Road/Widening | 2,743,685.18 |
| Construction of Line Canal and Drainage | 687,475.67 |
| **Total** | **21,796,732.88** |

## E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Claveria, Cagayan for the year-ended December 31, 2025 because the existence, accuracy and reliability of the PPE account appearing in the Financial Statements totaling to ₱240,465,375.18 as at December 31, 2025, cannot be relied upon due to non-conduct of a complete inventory count, reconciliation and one-time cleansing of the PPE account.

## F. Summary of Significant Observations and Recommendations

The following are among the Audit Teams significant audit observations and recommendations:

1. The Depreciation expense was not provided for PPE amounting to ₱170.542 million as at December 31, 2025 contrary to Paragraph 13 & 17 of IPSAS 17 thus, affecting the fair presentation of the account in the Financial Statements.

   We recommended that the Management direct the Municipal Accountant to compute the depreciation expense, draw the necessary journal entry to take up depreciation expense for the current year and update the related accumulated depreciation to present fairly the Financial Statements in accordance with PPSAS 17.

2. The year-end balances of intra-agency accounts, "Due from Other Funds" and "Due to Other Funds", which are reciprocal in nature, have a discrepancy of ₱0.719 million, which is not in accordance with Section 111(2) of PD No. 1445, thus, affecting the fair presentation of the Financial Statements.

We recommended that the Management

a. Direct the Municipal Accountant to effect the adjustments to reflect the correct account balances; and

b. Regularly monitor and reconcile the accounts Due from Other Funds and Due to Other Funds pursuant to Section 111(2) of PD No. 1445

3. Procurement of supplies and materials totalling to ₱16.463 million were recognized as outright expenses instead of recording the same in the appropriate inventory accounts, contrary to pertinent provisions of the Manual on the New Government Accounting Systems (NGAS) for Local Government Units (LGUs), hence, safeguards thereon were not adequately undertaken.

   We recommended, pursuant to Sections 114, 118 and 121 Volume 1 of the Manual on the NGAS for LGUs, that the Management set up the proper safeguards on various supplies and materials by requiring:

   a. The General Services Officer-Designate to maintain stock cards for inventories received, to issue Requisition and Issue Slip for the issuance of inventories and prepare and submit to the Municipal Accountant the required Summary of Supplies and Materials Issued;

   b. The Municipal Accountant to maintain Supplies Ledger Card for each specific type of Inventories; and

   c. The conduct of periodic physical inventory of supplies and materials. The physical count of unissued inventory items by type shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI).

4. The Municipality was able to implement six (6) out of nine (9) programs/ projects/ activities under the CY 2024 20% Development Fund, in which five (5) projects were completed and one (1) is on-going as of year-end. Meanwhile, nine (9) out of twenty-four (24) PPAs under the continuing 20% Development Fund totalling to ₱12.149 million were not implemented by the Municipality as at December 31, 2024, contrary to DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1 dated November 4, 2020, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended that the Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund.

   We also recommended that the Municipal Planning and Development Officer monitor regularly the implementation of the 20% Development Plan, including continuing appropriations, and closely coordinate with the concerned departments in the implementation of these projects, in order for the Municipality to fully achieve the desired socio-economic targets and outcomes.

## G. Summary of Total Suspensions, Disallowances and Charges

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| Suspensions | | | | | |
| Prior Years | - | - | - | - | |
| Current Year | - | - | - | - | |
| Total | - | - | - | - | |
| Disallowances | | | | | |
| Prior Years | - | - | - | - | - |
| Current Year | - | - | - | - | |
| **Total** | **-** | **-** | - | - | - |
| Charges | | | | | |
| Prior Years | - | - | - | - | |
| Current Year | - | - | - | - | |
| Total | - | - | - | - | |

## H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the eighteen (18) audit recommendations in the CY 2024 Annual Audit Report, eleven (11), were implemented, and seven (7), were not implemented.